

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

I declare this is my own work.

GCSE ECONOMICS

Paper 2 How the Economy Works

Predicted Paper – Hard Difficulty

Predicted Exam

Morning

Time allowed: 1 hour 45 minutes

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Materials

You will need no other materials.

You may use a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is **80**.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

For Examiner's Use	
Section	Mark
A	
B	
TOTAL	

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8136/2-PH

Section A

Answer **all** questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.
For each question, completely fill in the circle alongside the appropriate answer.
CORRECT METHOD ● WRONG METHODS ⊗ ■ ■ ■

0 1 Which of the following is most likely to occur following a significant rise in the Bank Rate? **[1 mark]**

- A An appreciation of the pound ☐
- B Increased consumer borrowing ☐
- C Increased demand-pull inflation ☐
- D Increased investment by firms ☐

0 2 Which of the following is an example of a supply-side policy aimed at reducing structural unemployment? **[1 mark]**

- A Cutting income tax rates ☐
- B Increasing government borrowing ☐
- C Investment in retraining programmes ☐
- D Raising interest rates ☐

Do not write o

- 0 3** A country's current account deficit is most likely to be worsened by which of the following? **[1 mark]**
- A An appreciation of the domestic currency ☐
 - B A fall in domestic inflation ☐
 - C Improved productivity in export industries ☐
 - D Reduced import tariffs on foreign goods ☐
- 0 4** Which of the following is most likely to cause demand-pull inflation? **[1 mark]**
- A A decrease in business confidence ☐
 - B A fall in government spending ☐
 - C A rise in energy prices worldwide ☐
 - D A significant cut in income tax rates ☐
- 0 5** Which of the following best describes the Laffer curve concept? **[1 mark]**
- A Higher tax rates always lead to higher tax revenue ☐
 - B Tax revenue falls continuously as tax rates rise ☐
 - C Tax revenue may fall if tax rates become too high ☐
 - D Tax revenue is independent of tax rates ☐

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- 0 6** A government runs a budget surplus of £20 billion. Which of the following is most likely to be true? **[1 mark]**
- A Government spending exceeds tax revenue by £20 billion ☐
 - B National debt will increase by £20 billion ☐
 - C Tax revenue exceeds government spending by £20 billion ☐
 - D The economy is definitely in recession ☐
- 0 7** Which of the following is the most likely effect of an appreciation of the pound sterling? **[1 mark]**
- A A fall in the price of UK imports ☐
 - B A rise in UK export competitiveness ☐
 - C Higher UK inflation ☐
 - D Higher UK unemployment in export industries ☐
- 0 8** Real GDP in a country grew from £1600 billion to £1664 billion over one year. What was the rate of economic growth? **[1 mark]**
- A 3.0% ☐
 - B 4.0% ☐
 - C 4.2% ☐
 - D 6.4% ☐

Do not write o

0 9 Which of the following is most likely to be a consequence of increased globalisation for a developed economy? **[1 mark]**

- A Increased inflation across all sectors ☐
- B Loss of low-skilled manufacturing jobs ☐
- C Reduced access to foreign markets ☐
- D Reduced competition for domestic firms ☐

1 0 Which of the following pairs of changes represents contractionary monetary policy? **[1 mark]**

	Interest rates	Money supply	
A	Decrease	Decrease	☐
B	Decrease	Increase	☐
C	Increase	Decrease	☐
D	Increase	Increase	☐

1 1 State two functions of money. **[2 marks]**

1 _____

1 _____

2 _____

2 _____

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1 2 Explain what is meant by a progressive tax. **[2 marks]**

1 3 Explain one role of commercial banks in the UK financial system. **[2 marks]**

1 4 Table 1 shows real GDP data for an economy.

Table 1

Year	Real GDP (£ billions)
2021	2080
2023	2163

- 1 4 . 1** Using Table 1, calculate the total percentage change in real GDP between 2021 and 2023 to one decimal place. **[2 marks]**

Answer _____ %

- 1 4 . 2** Explain one possible cause of economic growth. **[2 marks]**

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Figure 1 – Fiscal policy and inflation

Fiscal policy involves changes in government spending and taxation. The UK government can use fiscal policy to influence aggregate demand in the economy. During periods of high inflation, the government may choose to reduce aggregate demand by cutting spending or raising taxes. This is known as contractionary fiscal policy.

However, contractionary fiscal policy can have conflicting effects on other economic objectives. Cutting government spending on public services may reduce the quality of healthcare or education. Raising taxes reduces disposable income and can cause unemployment to rise. Policymakers must therefore weigh up trade-offs when using fiscal policy to control inflation.

15 Using Figure 1, analyse how contractionary fiscal policy could be used to reduce inflation in the UK.

[6 marks]

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1 6 State two policies that could be used by a government to reduce negative externalities from production. **[2 marks]**

1

1

2

2

1 7 Explain one benefit of low unemployment for the UK government. **[2 marks]**

1 8 Explain one role of the Bank of England as 'lender of last resort'. **[2 marks]**

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1 9 Table 2 shows balance of trade data for an economy in £ millions.

Table 2

	£ millions
Exports of goods	342 000
Imports of goods	478 000

1 9 . 1 Using Table 2, calculate the balance of trade in goods. State whether it is in surplus or deficit. **[2 marks]**

Answer _____

%

1 9 . 2

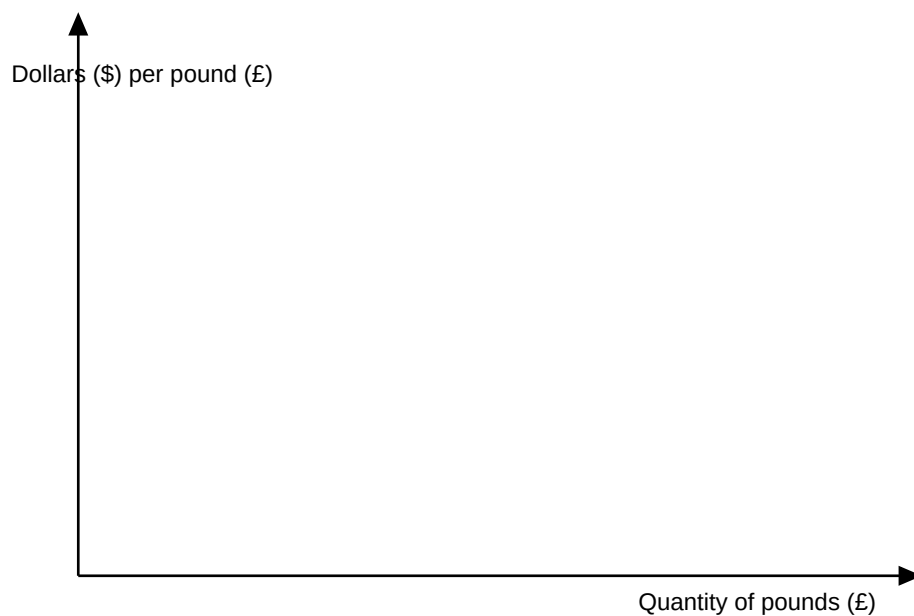
Explain one possible consequence of a persistent trade deficit for an economy.

[2 marks]

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2 0 Figure 2 shows the US dollar (\$)/British pound (£) exchange rate.

Figure 2 – US dollar (\$)/British pound (£) exchange rate



On Figure 2, draw and label the effects on the exchange rate of a significant rise in UK interest rates relative to US interest rates.

[3 marks]

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Figure 3 – UK economic growth

Economic growth is one of the key objectives of the UK government. Sustained economic growth can lead to higher living standards, improved public services, and lower unemployment. UK growth has been relatively modest in recent years, averaging around 1.5% since the 2008 financial crisis, well below the long-run average of around 2.5%.

Governments can use both demand-side and supply-side policies to promote growth. However, economic growth also has costs, including environmental damage, increased inequality, and depletion of natural resources. Some economists argue that GDP is not a reliable measure of well-being and that governments should focus on other objectives such as sustainability or happiness.

21 Using Figure 3, assess whether the UK government should prioritise economic growth as its main economic objective.

[9 marks]

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Section B

Answer **all** questions in the spaces provided.

Item A

UK monetary policy and inflation

Controlling inflation is a key objective of UK monetary policy. The Bank of England's Monetary Policy Committee (MPC) is tasked with keeping inflation at 2% as measured by the Consumer Price Index (CPI). When inflation rises significantly above target, the Bank of England typically raises interest rates.

Data on UK interest rates and inflation is shown in Table 3.

Table 3
UK Bank Rate and CPI inflation 2020-2023

Year	Bank Rate (%)	CPI inflation (%)
2020	0.1	0.9
2021	0.25	2.6
2022	3.5	9.1
2023	5.25	6.8

Source: Bank of England/ONS

Higher interest rates are designed to reduce aggregate demand by discouraging borrowing and encouraging saving. However, higher rates can also harm economic growth and increase unemployment. Some economists argue that cost-push inflation, caused by rising energy and food prices, cannot be effectively controlled by raising interest rates.

Quantitative tightening – the reverse of quantitative easing – is another tool that the Bank of England can use to reduce the money supply and bring down inflation.

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Item B

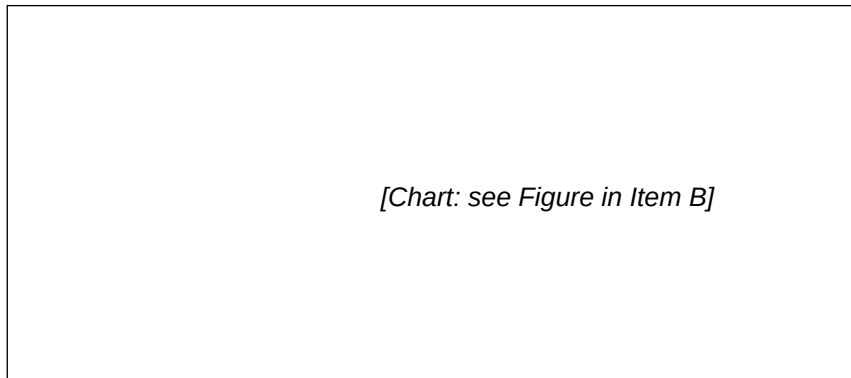
Multinational companies in developing economies

Multinational companies (MNCs) play a major role in the global economy. Many MNCs based in developed countries have set up operations in developing economies, where labour costs are lower and regulation is often less strict. This has brought both benefits and drawbacks to these developing economies.

On one hand, MNCs can bring investment, jobs, and new technology. They can help to develop infrastructure and improve skills in the local workforce. On the other hand, MNCs have been criticised for exploiting workers, paying low wages, and harming the environment. Profits generated in developing economies are often repatriated to the MNC's home country rather than reinvested locally.

Figure 4 shows foreign direct investment (FDI) into developing economies.

Figure 4 – FDI inflows to developing economies 2005–2021 (\$ billions)



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2 2

Define the term 'inflation'.

[2 marks]

2 3

Using Table 3 in Item A, calculate the percentage point change in CPI inflation between 2021 and 2022. State whether this represents an increase or a decrease.

[3 marks]

Do not write o

2 4 Using Item A, explain two ways the Bank of England could reduce inflation.

[6 marks]

Policy 1

Policy 2

Do not write o

25

Using Item B, analyse the possible consequences of increased investment by multinational companies for workers in developing economies.

[6 marks]

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26

Using Item A and Item B and your own economic knowledge, discuss whether monetary policy is the most effective way to control inflation in the UK. Justify your answer.

[15 marks]

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END OF QUESTIONS

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